

SAP

AI is now in two-thirds of cloud orders — and SAP is rebuilding its roadmap around agents rather than features · www.sap.com

1972

Founded

€9.7B

Q4 2025 revenue

€77B

Total cloud backlog

2/3

Cloud orders with AI

€8.24B

Free cash flow

01 Overview

The dominant ERP vendor, with a record €77B total cloud backlog and Business AI included in two-thirds of Q4 2025 cloud order entry. Joule customer numbers grew ninefold across 2025, and SAP is now shifting its product roadmap from features toward autonomous agents.

Offering: S/4HANA and the Cloud ERP Suite delivered through RISE with SAP and GROW with SAP, plus Business Data Cloud, the Business Technology Platform, and Business AI — the Joule assistant, Joule Work, the Business AI Platform, and the Autonomous Suite agents.

Key facts

HQ: Walldorf, Germany

Ownership: Public (XETRA: SAP; NYSE: SAP)

Revenue: Q4 2025 revenue of €9.7B, up 9%, with cloud revenue of €5.6B, up 26%, and Cloud ERP Suite at €4.9B, up 23%. Total cloud backlog reached a record €77B, up 30% at constant currency. Free cash flow nearly doubled to €8.24B

Web: www.sap.com · [LinkedIn](#)

Key people: Christian Klein (Chief Executive Officer) · Dominik Asam (Chief Financial Officer)

Digital twin: Via partners · **GenAI:** Yes (Business AI, Joule)

02 Use Cases & Reported Metrics

Sector	Deployment	Reported impact	Source
AI attach rate	Business AI sold as part of cloud deals rather than as a separate upsell, with AI features included in cloud order entry as standard.	Business AI included in two-thirds of Q4 2025 cloud order entry, a 20% increase on the prior quarter;	Link
Professional services productivity	Joule for Consultants at Siemens, where the assistant works across the SAP application suite with access to business data that general-purpose models cannot reach.	Siemens consultants reinvesting 25% of their weekly time into higher-value work; Joule customer numbers grew ninefold across 2025	Link
Contracted backlog	Total cloud backlog tracked as the long-lead indicator, built on RISE and GROW with SAP adoption across industries and regions.	Record €77B total cloud backlog at end-2025, up 30% at constant currency; nearly two-thirds of deals above €1M involved four or more lines of...	Link

03 Competitive Landscape

Other vendors in this market: Adobe · Oracle · Salesforce · ServiceNow · Workday

Where it sits: SAP's structural argument is the one that matters most for asset-heavy businesses: general-purpose models cannot reach the business data that sits inside an ERP, and Joule can. Klein's own example is a customer win where SAP replaced a competitor by combining LLMs with its business data foundation to reinvent last-mile delivery logistics — a capability he argues competitors without deep ERP data cannot replicate.

04 GIP & BlackRock Connections

GIP became a wholly-owned BlackRock subsidiary in October 2024 and now operates as BlackRock's dedicated infrastructure-investment arm. Stakes below are standard institutional/index-fund positions unless otherwise noted.

Entity	Possible connection
Global Infrastructure Partners	No publicly disclosed GIP relationship. SAP is the most likely core ERP at asset-heavy PortCos, which makes it a Corporate Functions Efficiency play in the reference model, and potentially an Asset Optimization one wherever operational data already sits inside the SAP estate.
BlackRock	No publicly disclosed operating relationship.

05 Sentiment

Customer: Buying behaviour is the strongest evidence and it points to consolidation onto the suite: nearly two-thirds of deals above €1M involved four or more lines of business, a 25-point jump, which supports SAP's best-of-suite argument over best-of-breed.

What supports the story

- Record €77B total cloud backlog, up 30% at constant currency, giving strong multi-year visibility
- Business AI attached to two-thirds of Q4 cloud orders — the highest disclosed AI attach rate of any vendor in this app
- Free cash flow nearly doubled to €8.24B, funding the agentic buildout from operations

What to pressure-test

- The share price fell sharply on Q4 earnings day — in some markets the largest single-day drop since 2020 — on near-term cloud backlog dynamics
- Current cloud backlog growth decelerated through mid-2025, from 29% to 22%, which Klein attributed to tariff-driven uncertainty
- Redirecting the development backlog from features to agents risks disappointing customers on conventional roadmap commitments

Employee: Not covered in this pass — headcount was not disclosed in the results reviewed and no employer-review data was gathered. One adjacent signal worth noting: SAP has publicly discussed AI replacing parts of its own coding work, which customers should...

Sources: SAP public filings/website, company fact sheets, Wikipedia, PitchBook/Crunchbase/Datanyze/BuiltIn profiles, Glassdoor employer reviews, vendor case studies and press releases as of Sept. 2026. Figures marked "est." or "not disclosed" are third-party estimates or unavailable — not company-confirmed — validate in diligence. Part of the Physical AI / Industrial AI for Critical Infrastructure market landscape.